

Rigetti Computing, Inc.

RGTI | October 4, 2026

SELL (SPECULATIVE)

Fair value (12-mo horizon reference)	\$5.00
Current price (October 2, 2026 close)	\$15.25
Implied upside / downside	-67%
Verdict	SELL (SPECULATIVE)

Speculative pre-revenue situation -- position sizing should reflect binary risk.

Investment Thesis

Let us be plain: Rigetti Computing is a pre-revenue science project trading at a multi-billion-dollar valuation. The company generates on the order of \$10-15 million in annual revenue -- mostly government research contracts, not commercial product sales -- while burning \$70-80 million a year pursuing superconducting quantum computers. At \$15.25, the market capitalization prices a future in which fault-tolerant quantum computing arrives, Rigetti wins a meaningful share of it, and today's shareholders are not diluted into irrelevance along the way. We assign low probability to all three happening together. Our fair value is \$5.00, implying 67% downside, and we rate the shares SELL (Speculative).

This is not a judgment on the physics. Superconducting qubits are a legitimate path to quantum computing, Rigetti operates its own fabrication facility, and the technical team has real credentials. It is a judgment on the timeline and the capital structure. Useful, fault-tolerant quantum computing -- the kind that generates commercial revenue rather than research grants -- is widely estimated at 5 to 15 years away, and the field is crowded with better-funded competitors: IBM and Google with effectively infinite R&D budgets, IonQ and D-Wave with their own public currencies. Breakthroughs in quantum error correction accrue to the field, not to any single small company.

The nearer-term math is unforgiving. At the current burn rate, Rigetti must return to capital markets repeatedly, and each raise -- typically via at-the-market offerings into retail enthusiasm -- dilutes existing holders. The stock has become a trading vehicle for quantum narrative momentum rather than a claim on discounted cash flows, because there are no cash flows to discount. Our \$5.00 fair value reflects the option value of the intellectual property, the talent, and the cash on hand, heavily discounted for the dilution required to survive to the end of the decade. This is a call option on a breakthrough; it should be sized like one, and at \$15.25 even the option is overpriced.

It helps to state the valuation in venture-capital terms, since that is what this is. At \$15.25, Rigetti's enterprise value exceeds \$4 billion -- a late-stage private valuation for a company with \$10-15 million of contract revenue and no product-market fit. Venture investors pay such prices with liquidation preferences, anti-dilution protection, and board control; public shareholders get none of those, only the dilution. The quantum-computing field will likely produce enormous value over the next two decades; the question is how much of it accrues to today's common shareholders after the intervening financings, and our answer is: far less than \$15 per share.

Business Overview

Rigetti Computing, Inc., founded in 2013 and headquartered in Berkeley, California, develops superconducting quantum processors and offers quantum-computing-as-a-service through cloud partners. The company operates Fab-1, a dedicated quantum-chip fabrication facility, and sells its Novera line of quantum processing units alongside research collaborations. Reported revenue is minimal and contract-based; the company is pre-profitability by a wide margin and funds operations through equity raises. The competitive set spans IBM, Google, IonQ, D-Wave, and a deep bench of venture-backed startups pursuing trapped-ion, neutral-atom, and photonic approaches.

Forward Outlook

Our judgment is that the next several years bring technical milestones, not commercial ones. Qubit counts will rise, fidelities will improve, and error-correction demonstrations will make headlines -- and none of it will produce material product revenue before the end of the decade. That is the normal path of deep-tech commercialization, and it is fatal to equity value when the starting valuation assumes the end state.

The realistic paths from here are three. One: dilutive survival, in which the company raises repeatedly at the mercy of sentiment, and per-share value decays regardless of technical progress. Two: acquisition by a hyperscaler or defense prime seeking quantum talent and IP, which is the genuine bull case but typically occurs at modest premiums for pre-revenue companies. Three: technical failure or funding exhaustion. We weight the first path most heavily. Investors should understand they are underwriting years of dilution for a lottery ticket -- and lottery tickets should not cost \$15.

The financing cycle deserves emphasis because it is the mechanism of value destruction. Quantum stocks trade on narrative momentum -- government announcements, technical milestones, quantum-advantage headlines -- and management teams rationally exploit these windows with at-the-market offerings. Each raise funds another 12-18 months of burn and permanently increases the share count; the stock then needs ever-larger narratives to sustain the price on the larger base. We have seen this movie in prior SPAC-era technology manias. The technology may eventually work; the capitalization table will not resemble today's.

Valuation

Traditional DCF is not meaningful for a pre-revenue company with no line of sight to positive cash flow; we value Rigetti on an option-value framework with scenario weights. In the bear case, funding dries up or technical progress stalls, dilutive raises continue, and the equity retains only nominal IP value near \$1. In the base case, Rigetti survives to decade-end with steady technical progress, the IP and talent base hold strategic value, and dilution brings per-share fair value to our \$5.00 target. In the bull case, a strategic acquirer pays a premium for the platform and the shares realize \$15 or more -- roughly today's price, which tells you the market is pricing the acquisition as the expected outcome rather than the optimistic one.

Our probability-weighted fair value is \$5.00. The bear case sits well below the current price, as required, and the speculative discount rate embedded in our framework reflects the binary nature of the payoff. We would not own this equity at any price above our target; the risk is not volatility, it is permanent dilution.

Our option-value framework assigns the bulk of the \$5.00 to cash on hand plus a probability-weighted strategic value for the IP portfolio and the technical team, less the dilution from the raises required to reach technical milestones. The key sensitivity is not the terminal quantum market size -- which could be enormous -- but the number of shares outstanding when and if that value materializes. At a \$70-80 million annual burn, five more years of development implies \$350-400 million of additional capital, or roughly a doubling of the share count at current prices. Per-share option value decays with every offering; that decay is the core of our SELL.

Key Risks

- Repeated dilutive equity raises are near-certain at the current burn rate; per-share value can fall even if the technology succeeds.
- Technical risk: superconducting qubits may lose to trapped-ion, neutral-atom, or photonic approaches.
- Competition from IBM, Google, and well-funded startups with vastly greater resources.
- Government research funding -- a key revenue source -- is subject to budget and policy shifts.
- Narrative-driven volatility: the shares trade on quantum sentiment, enabling sharp drawdowns unrelated to fundamentals.

What Would Change Our Mind

- Demonstrated quantum advantage on a commercially relevant problem, with third-party verification -- not a press release.
- Non-dilutive funding at scale: a major strategic investment or government program that removes financing overhang.
- A credible path to product revenue -- signed commercial contracts, not research grants -- within three years.
- Acquisition interest at a premium, which would validate strategic value of the IP.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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